TCFD PRODUCT REPORT

Invesco UK Equity High Income (UK)

Benchmark: Adequate

31/07/2023

Governance disclosure

Climate related risks and opportunities

Assessing and managing climate-related risks and opportunities

Risk Management Disclosure

Climate-related risk management

Climate-related risk management process

Climate-related risk management integration

Strategic Disclosure

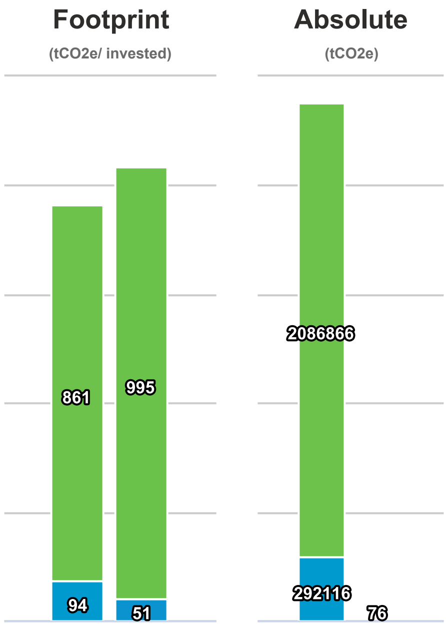
Short, medium & long term climate related risks and opportunities

Impacts of climate-related risks and opportunities

2°C resilience strategy

Metrics Disclosure in Reporting Year

Financed Emissions and Total Carbon Footprint



Portfolio assets covered by assessment:

Footprint:
- Scope 1 & 2: **93%**
- Scope 3: **72%**

Absolute:
- Scope 1 & 2: **93%**
- Scope 3: **93%**

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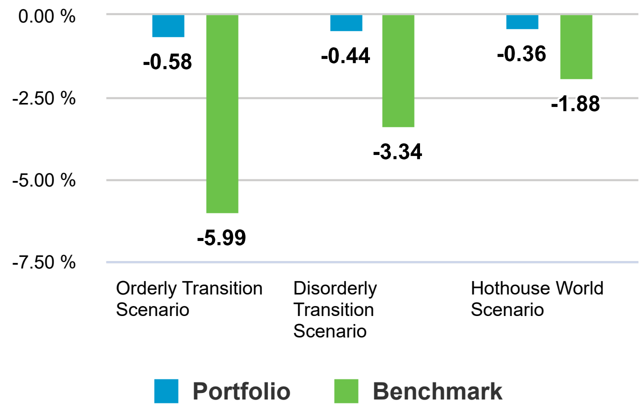
Weighted Average Carbon Intensity (WACI)

174.31	153.64
tCO2/£M sales Portfolio	tCO2/£M sales Benchmark

952.42	1984.96
tCO2/£M sales Portfolio	tCO2/£M sales Benchmark

- Coverage Scope 1 & 2:93.04%
- Coverage Scope 3:93.04%

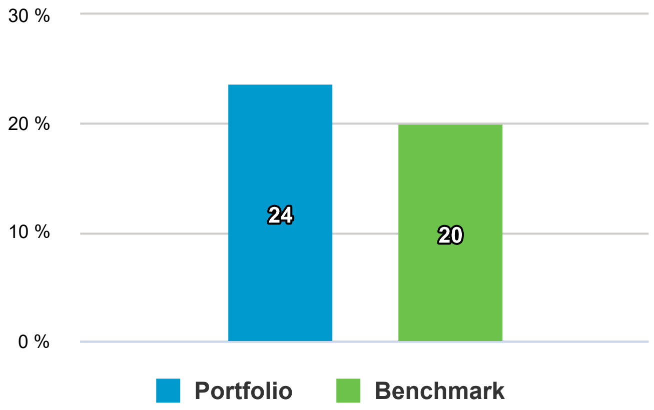
Scenario Analysis



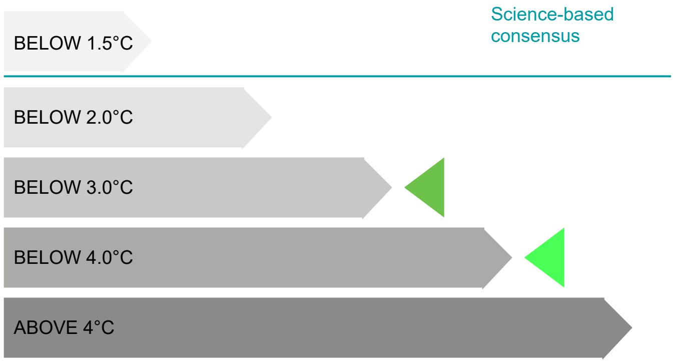
Scenario Analysis Coverage: 93.04%

Carbon Intensive Sector Exposure

Carbon Intensive Sectors are, are based on the carbon-related assets as those assets tied to the energy and utilities sectors under the Global Industry Classification Standard, excluding water utilities and independent power and renewable electricity producer industries. Carbon Intensive Sectors are, are based on the carbon-related assets as those assets tied to the energy and utilities sectors under the Global Industry Classification.



Implied Temperature Rise



- Portfolio:2.19°C
- Benchmark:3.62°C

Implied Temperature Rise Coverage: 90.7%%

Most significant drivers

Scenario Analysis Impacts

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Glossary

Scope 1: Direct GHG emissions

Direct GHG emissions occur from sources that are owned or controlled by the company, for example, emissions from combustion in owned or controlled boilers, furnaces, vehicles, etc.; emissions from chemical production in owned or controlled process equipment. (GHG Protocol)

Scope 2: Electricity indirect GHG emissions

Scope 2 accounts for GHG emissions from the generation of purchased electricity2 consumed by the company. Purchased electricity is defined as electricity that is purchased or otherwise brought into the organizational boundary of the company. Scope 2 emissions physically occur at the facility where electricity is generated. (GHG Protocol)

Scope 3: Other indirect GHG emissions

Scope 3 is an optional reporting category that allows for the treatment of all other indirect emissions. Scope 3 emissions are a consequence of the activities of the company, but occur from sources not owned or controlled by the company. Some examples of scope 3 activities are extraction and production of purchased materials; transportation of purchased fuels; and use of sold products and services. (GHG Protocol)

Equity Ownership Approach (TCFD)

Scope 1 and Scope 2 GHG emissions are allocated to investors based on an equity ownership approach. Under this approach, if an investor owns 5 percent of a company's enterprise value including cash, then the investor owns 5 percent of the company as well as 5 percent of the company's GHG (or carbon) emissions.

Financed Emissions Description & Methodology(TCFD):

The absolute greenhouse gas emissions associated with a portfolio, expressed in tons CO2e. While this metric is generally used for public equities, it can be used for other asset classes by allocating GHG emissions across the total capital structure of the investee (debt and equity).

Key Points (TCFD):

+ Metric may be used to communicate the carbon footprint of a portfolio consistent with the GHG protocol.

+ Metric may be used to track changes in GHG emissions in a portfolio.

+ Metric allows for portfolio decomposition and attribution analysis.

- Metric is generally not used to compare portfolios because the data are not normalized.

- Changes in underlying companies' enterprise value including cash can be misinterpreted.

Total Carbon Footprint Description & Methodology(TCFD):

Total carbon emissions for a portfolio normalized by the market value of the portfolio, expressed in tons CO2e / $M invested. Scope 1, Scope 2 and Scope 3 GHG emissions are allocated to investors based on an equity ownership approach as described under methodology for Total Carbon Emissions. The current portfolio value is used to normalize the data.

Key Points (TCFD):

+ Metric may be used to communicate the carbon footprint of a portfolio consistent with the GHG protocol.

+ Metric may be used to track changes in GHG emissions in a portfolio.

+ Metric allows for portfolio decomposition and attribution analysis.

- Metric is generally not used to compare portfolios because the data are not normalized.

- Changes in underlying companies' enterprise value including cash can be misinterpreted.

Weighted Average Carbon Intensity Description & Methodology(TCFD):

Portfolio's exposure to carbon-intensive companies, expressed in tons CO2e / $M revenue. Metric recommended by the Task Force. Scope 1 and Scope 2 GHG emissions are allocated based on portfolio weights (the current value of the investment relative to the current portfolio value), rather than the equity ownership approach (as described under methodology for Total Carbon Emissions). Gross values should be used.

Key Points (TCFD):

+ Metric can be more easily applied across asset classes since it does not rely on equity ownership approach.

+ The calculation of this metric is fairly simple and easy to communicate to investors. + Metric allows for portfolio decomposition and attribution analysis.

- Metric is sensitive to outliers. - Using revenue (instead of physical or other metrics) to normalize the data tends to favor companies with higher pricing levels relative to their peers.

Carbon Intensive Sectors Description & Methodology(TCFD):

The amount or percentage of carbon-related assets in the portfolio, expressed in $M or percentage of the current portfolio value. This metric focuses on a portfolio's exposure to sectors and industries considered the most GHG emissions intensive. Gross values should be used.

Key Points (TCFD):

+ Metric can be applied across asset classes and does not rely on underlying companies' Scope 1 and Scope 2 GHG emissions.

- Metric does not provide information on sectors or industries other than those included in the definition of carbon-related assets (i.e., energy and utilities sectors under the Global Industry Classification Standard excluding water utilities and independent power and renewable electricity producer industries).

Scenario Analysis Interpretation:

SCENARIO ANALYSIS is a process for identifying and assessing a potential range of outcomes of future events under conditions of uncertainty. In the case of climate change, for example, scenarios allow an organization to explore and develop an understanding of how the physical and transition risks of climate change may impact its businesses, strategies, and financial performance over time.

Orderly Transition Scenario

'orderly transition' scenarios assume climate policies are introduced early and become gradually more stringent, reaching global net zero CO2 emissions around 2050 and likely limiting global warming to below 2 degrees Celsius on pre-industrial averages.

Disorderly Transition Scenario

'disorderly transition' scenarios assume climate policies are delayed or divergent, requiring sharper emissions reductions achieved at a higher cost and with increased physical risks in order to limit temperature rise to below 2 degrees Celsius on pre-industrial averages.

Hothouse World Transition Scenario

'hothouse world' scenarios assume only currently implemented policies are preserved, current commitments are not met and emissions continue to rise, with high physical risks and severe social and economic disruption and failure to limit temperature rise.

Temperature Alignment Interpretation:

refers to an estimate of a global temperature rise associated with the greenhouse gas emissions of a single entity (e.g., a company) or a selection of entities (e.g., those in a given investment portfolio, fund, or investment strategy). Expressed as a numeric degree rating, ITR metrics incorporate current GHG emissions or other data and assumptions to estimate expected future emissions associated with the selected entity or entities. Then the estimate is translated into a projected increase in global average temperature (in °C) above pre-industrial levels that would occur if all companies

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